extremely so. However, Alice cannot entirely gauge the depth of the problem and realizes that holding ABC contains risk, but ABC is also a viable corporate entity with good prospects. Alice must make a decision. On one hand, she has confirmed that ABC does have an accounting problem, and she is unsure of how severe the problem might become. On the other hand, the company has a solid business, and Alice wants to recoup the 25 percent that she feels she lost. What should Alice do?

Analysis Most investors have been confronted with situations similar to this one. They decide to invest in a stock; the stock goes up and then declines. Investors become conflicted and must evaluate the situation to determine whether to hold on to the stock. A rational investor would examine the company's financial situation; make an objective assessment of its business fundamentals; and then decide to buy, hold, or sell the shares. Conversely, some irrational investors—even after going through the trouble of performing the aforementioned rational analysis—permit cognitive errors to cloud their judgment. Alice, for example, may irrationally disregard the results of her research and "anchor" herself to the $20 figure, refusing to sell unless ABC once again achieves that price. This type of response reflects an irrational behavioral bias and should be avoided.

Implications for Investors A wide variety of investor behaviors can indicate susceptibility to anchoring and adjustment bias. Below we highlight some important examples of which investors and advisors should be aware.

Some excellent research into the effects of anchoring and adjustment was performed in 1987 by University of Arizona researchers Gregory Northcraft and Margaret Neale.[1] Their study asked a group of real estate professionals to value a property after being given a proposed selling price quoted by the researchers at the outset of the experiment. The agents were also given 20 minutes to examine the premises before being asked to estimate its worth. Specifically, the study asked each researcher to provide the appraised value of the property, the value of the property should it be put up for sale, the price that a potential buyer should be advised to regard as reasonable, and the minimum offer that the seller should be advised to accept. Table 11.1 summarizes the results with respect to the first two categories—appraised value and salable value (the remaining estimates followed patterns similar to those evidenced here).

During the experiment, the real estate agents were divided into two groups. Each group received a guided tour of the home, a 10-page packet of information describing the home, and a list price for the property. The two trials proceeded identically but with one twist: The first group of agents was quoted a list price higher than that quoted to the second group (for details, please see Table 11.1). When both groups subsequently appraised the